



Rating
Buy

Asia
China

Technology
Software & Services

Company
Tencent

Reuters
0700.HK

Bloomberg
700 HK

Exchange
HSI

Ticker
0700

ADR
TCEHY

ISIN
US88032Q1094

Date
13 August 2026

Results

Price at 12 Aug 2026 (HKD)	461.60
Price target - 12mth (HKD)	760.00
52-week range (HKD)	677.50 - 411.80
Unavailable	25,653

Clearer AI strategy & accelerated execution

Near-term margin dilution and long-term growth potential

Tencent delivered on-track 2Q results, with core businesses sustaining healthy momentum, evidenced by 11% YoY revenue growth and a 9% YoY adjusted net profit increase. On the AI front, the company has clarified its strategy, focusing on LLM "Hy", productivity AI agents "WorkBuddy" and "CodeBuddy," and consumer agentic AI "Xiaowei" within Weixin. A significant 2Q capex surge (+176% YoY/+65% QoQ) further demonstrates Tencent's rising commitment to AI investments. We broadly maintain our FY26/27E revenue forecasts but lower our adjusted net income estimates by 2%/4% to account for anticipated increased AI investment, resulting in a reduced target price of HK\$760. Despite these revisions, we remain confident in Tencent's ability to establish a strong AI position, leveraging its established consumer and enterprise ecosystems, robust financial support from core operations, and accelerated execution. Potential catalysts include future LLM updates or further breakthroughs in agentic AI applications. We reiterate our Buy rating.

AI initiatives: solid progress on Hy, WorkBuddy, and Xiaowei

Solid progress is evident across key AI initiatives. The Hy3 production version, released in July 2026, has shown significant performance improvements over its preview, achieving a top 3 global ranking for token consumption on OpenRouter. WorkBuddy is experiencing rapid user growth, healthy retention, and a high willingness to pay for tokens, driven by robust engineering, diverse model availability, and a leading Skills library. Concurrently, a small-scale prototype test has commenced for Xiaowei, the agentic AI integrated within Weixin. This initiative is powered by a customized WeLM model, specifically designed with a focus on user privacy, Weixin-specific use cases, and inference efficiency.

Online games: solid growth sustains

Tencent's domestic online game revenue reaccelerated to +17% YoY in 2Q26, up from +6% YoY in 1Q26. This growth was primarily driven by the strong performance of evergreen titles such as Delta Force and VALORANT (across both PC and mobile platforms), alongside the new hit title "Roco Kingdom: World." We anticipate this healthy game revenue growth to continue into 3Q, supported by both robust deferred revenue growth recorded in the first half of the year and the sustained outperformance of its evergreen and recent new titles.

Valuation & Risks

Leo Chiang, CFA
Research Analyst
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Key changes

TP	800.00 to 760.00	↓	-5.0%
Sales (FYE)	831,498 to 827,398	↓	-0.5%
Adjusted OP Income (FYE)	309,557.5 to 301,777.2	↓	-2.5%
Adjusted Net profit (FYE)	283,788.3 to 277,349.7	↓	-2.3%

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

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Marketing services: AI and closed-loop enhancements drive strong momentum

Tencent's advertising revenue further accelerated, achieving +22% YoY growth in 2Q26, an increase from +20% YoY in 1Q26. This robust performance was driven by enhancements to AI-driven ad recommendation models, upgrades to the automated campaign management solution AIM+, and deeper integration of closed-loop marketing within the Weixin ecosystem, particularly Mini Games and Mini Shops. Increased ad spending was observed across most major industry categories, including e-commerce, internet services, and local services. We anticipate that continuous enhancements in ad-tech and closed-loop capabilities will sustain strong momentum in subsequent quarters.

FinTech and business services: cloud accelerates

FinTech revenue growth was primarily driven by increased commercial payment, wealth management, and consumer loan services. Cloud revenue growth accelerated to the low-twenties % YoY, fueled by robust AI-related demand, ongoing international expansion, and increased uptake for general cloud services. We anticipate that cloud revenue could further accelerate in 2H26, particularly given the company's intensified compute procurement.

2Q26 key takeaways

Online games

- **Domestic Games** revenue grew to RMB47.3bn, up 17% YoY/4% QoQ, driven by growth across most major games including Delta Force, VALORANT PC and Mobile, and Roco Kingdom: World.
 - **Evergreens:** Delta Force and VALORANT PC both achieved lifetime highs in average DAU in 2Q26.
 - **New Titles:** Roco Kingdom: World ranked first by average DAU (according to QuestMobile) and by gross receipts (according to SensorTower) among all new mobile titles released in China year to date.
- International Games revenue was RMB18.6bn, down 0.8% YoY as higher revenue from Wuthering Waves and VALORANT PC was offset by lower revenue from certain Supercell games. Miniclip's Arrows – Puzzle Escape became the most downloaded mobile game globally in 2Q26 per Sensor Tower, driving robust in-app advertising revenue.

AI

- Tencent released the full Hy3 production version in July 2026, delivering a substantial step-up in performance versus the Hy3 preview version and significantly outperforming most similar-sized models. Since its launch on 7 July, Hy3 has consistently ranked among the top 3 models globally by token consumption on OpenRouter. Management also mentioned Hy4, a larger model targeting greater capability than Hy3, is in training now and expected to release later this year, positioned as a step toward SOTA.
- WorkBuddy is achieving rapid user growth and healthy retention, with high willingness to pay via subscriptions and top-ups, which management attributes to its harness engineering, model availability, and Skills library. CodeBuddy and WorkBuddy are the clear leaders in their fields in China today, according to Analysys data on monthly interactions among PC-based AI-native office agents in June 2026. Tencent also began small-scale prototype testing of Xiaowei, an agentic AI inside Weixin powered by a



customized model, WeLM, built for user privacy, Weixin-specific use cases, and inference efficiency.

- Video Accounts total time spent grew over 20% YoY in 2Q26, benefiting from enriched content for younger users, upgraded interactive features, and a new multi-variable content ranking system.
- Non-IFRS operating profit rose 9% YoY to RMB75.6bn, or up 19%YoY excluding new AI products (Hy, Yuanbao, CodeBuddy, WorkBuddy, and Xiaowei), to RMB86.1bn. 2Q26 free cash flow recorded negative of RMB13.8bn, as operating cash flow of RMB52.7bn was outpaced by capex, media content, and lease payments of RMB59.3bn, RMB5.0bn, and RMB2.2bn respectively; excluding AI-related compute prepayments, free cash flow would have been positive RMB37.6bn.

Marketing services

- Marketing Services revenue grew 22% YoY/14% QoQ to RMB43.6bn, supported by AI-driven ad recommendation upgrades, AIM+ enhancements, and closed-loop marketing integration within Weixin, including Mini Games and Mini Shops. Most major industry categories increased ad spend, with QoQ growth also aided by 618 shopping-festival seasonality. AIM+ was upgraded with AI-powered end-to-end execution for mini shop and mini drama advertisers.

Fintech and business services

- FinTech and Business Services revenue grew 9% YoY to RMB60.3bn, with FinTech Services led by commercial payment, wealth management, and consumer loan services, and Business Services led by cloud growth on AI demand, international expansion, and favorable pricing.

Social & Communications

- Weixin/WeChat combined MAU reached 1,439mn, up 2% YoY. QQ mobile MAU was 520mn, down 2% YoY. Fee-based VAS subscriptions were 259mn, down 2% YoY. Social Networks revenue increased by 0.8% YoY to RMB32.5bn, and grew 2% QoQ mainly on higher app-based game item sales.



2Q26 earnings review

Figure 1: 2Q26 earnings review

YE 31 Dec		vs. Dbe		vs. Consensus	
Figures in RMBm excp. EPS		2Q26E	% diff	2Q26E	% diff
Net revenues	204,785	205,269	0%	202,843	1%
Growth, %	11%	11%		10%	
VAS	98,414	99,104	-1%		
SNS	32,514	33,403	-3%		
Domestic games	47,300	44,644	6%		
International games	18,600	21,056	-12%		
Marketing Services	43,565	42,799	2%		
Fintech & Business Solution	60,286	61,073	-1%		
Gross profit	118,433	117,673	1%	115,629	2%
Gross margin, %	58%	57%		57%	
Operating profit (Non-GAAP)	75,636	77,637	-3%	na	na
OP margin, non-GAAP %	37%	38%		na	
Net income (Non-GAAP)	68,415	70,635	-3%	68,227	0%
NP margin, non-GAAP %	33%	34%		34%	

Source : Company data, Deutsche Bank estimates, Bloomberg Finance LP

Forecast changes

Figure 2: Earnings revisions and comparisons vs. consensus

YE 31 Dec	Annual		Previous Dbe		vs. Consensus	
	FY2026E	FY2027E	FY2026E	% diff	FY2027E	% diff
Figures in RMBm excp. EPS						
Net revenues	827,398	902,724	831,498	0%	906,176	0%
Growth, %	10%	9%	11%		9%	
VAS	390,546	415,151	397,140	-2%	422,056	-2%
SNS	127,564	131,372	130,890	-3%	134,608	-2%
Domestic games	183,681	196,549	179,466	2%	191,986	2%
International games	79,300	87,230	86,784	-9%	95,462	-9%
Marketing Services	175,955	205,551	173,540	1%	202,702	1%
Fintech & Business Solution	251,046	271,941	251,649	0%	272,250	0%
Gross profit	469,930	517,414	473,298	-1%	522,611	-1%
Gross margin, %	57%	57%	57%		58%	
Operating profit (Non-GAAP)	301,777	325,048	309,557	-3%	341,151	-5%
OP margin, non-GAAP %	36%	36%	37%		38%	
Net income (Non-GAAP)	277,350	297,673	283,788	-2%	310,440	-4%
NP margin, non-GAAP %	34%	33%	34%		34%	

Source : Deutsche Bank estimates, Bloomberg Finance LP

Valuation and risks

We use a DCF valuation, assuming a WACC of 8.0%, with a risk-free rate of 2.5%, an equity risk premium of 5%, and a 2% terminal growth rate. Key downside risks include macro uncertainty, a rapid deterioration in key online games, competitive pressures, regulation, and heavy investments.



Model updated: 12 August 2026

Running the numbers

Asia
China
Software & Services

Tencent

Reuters: 0700.HK Bloomberg: 700 HK

Buy

Price (12 Aug 26) HKD 461.6
Target Price HKD 760.0
52 Week range HKD 411.80 - 677.50
Market cap (m) HKDm 4,196,983
USDm 534,889

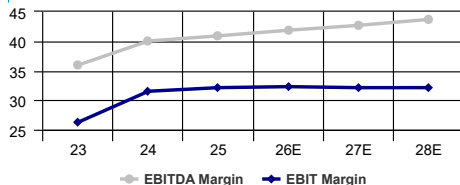
Company Profile

Tencent Holdings Ltd provides internet, mobile and telecommunication value-added services in China. The company has an instant messaging community in China. Tencent also provides online advertising services.

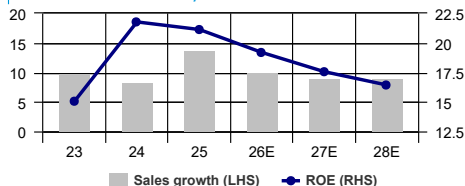
Price Performance



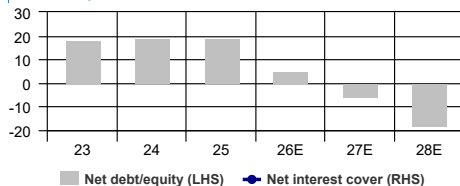
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	16.39	23.63	28.08	30.28	32.52	35.02
Reported EPS (CNY)	11.97	20.59	24.32	26.42	28.40	30.83
DPS (CNY)	2.30	3.36	4.39	4.76	5.11	5.55
BVPS (CNY)	85.4	104.7	126.9	151.4	176.6	204.0
Weighted average shares (m)	9,467	9,294	9,092	9,027	9,025	9,025
Average market cap (CNYm)	2,882,833	3,082,800	4,531,402	3,608,979	3,608,979	3,608,979
Enterprise value (CNYm)	2,358,209	2,475,499	3,855,043	2,747,186	2,541,557	2,270,179

Valuation Metrics

P/E (DB) (x)	18.6	14.0	17.7	13.1	12.2	11.3
P/E (Reported) (x)	25.4	16.1	20.5	15.0	14.0	12.9
P/BV (x)	3.11	3.67	4.35	2.62	2.25	1.95
FCF Yield (%)	6.1	5.5	4.2	6.2	6.9	8.9
Dividend Yield (%)	0.8	1.0	0.9	1.2	1.3	1.4
EV/Sales (x)	3.9	3.7	5.1	3.3	2.8	2.3
EV/EBITDA (x)	10.8	9.4	12.5	7.9	6.6	5.3
EV/EBIT (x)	14.7	11.9	16.0	10.3	8.8	7.2

Income Statement (CNYm)

Sales revenue	609,015	660,257	751,766	827,398	902,724	985,788
Gross profit	293,109	349,246	422,593	469,930	517,414	569,841
EBITDA	219,082	264,312	307,590	346,359	385,381	430,744
Depreciation	26,305	27,332	32,799	45,528	58,705	73,973
Amortisation	32,703	28,881	33,229	33,587	36,646	40,020
EBIT	160,074	208,099	241,562	267,244	290,029	316,751
Net interest income/(expense)	13,808	16,004	16,909	16,799	17,479	17,479
Associates/affiliates	5,800	25,176	23,740	8,313	14,480	14,480
Exceptionals/extraordinary	-12,268	-11,981	-15,130	-11,721	-11,138	-11,138
Other pre-tax income/(expense)	-6,090	4,187	10,168	16,968	7,712	7,712
Profit before tax	161,324	241,485	277,249	297,603	318,562	345,284
Income tax expense	43,276	45,018	47,448	49,810	53,408	57,882
Minorities	2,832	2,394	4,959	5,852	5,196	5,196
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	115,216	194,073	224,842	241,941	259,958	282,206
DB adjustments (including dilution)	42,472	28,630	34,784	35,409	37,715	38,365
DB Net profit	157,688	222,703	259,626	277,350	297,673	320,570

Cash Flow (CNYm)

Cash flow from operations	221,962	258,521	303,052	338,123	375,812	417,794
Net Capex	-46,793	-89,118	-112,729	-116,686	-127,311	-99,595
Free cash flow	175,169	169,403	190,323	221,436	248,502	318,199
Equity raised/(bought back)	-42,697	-100,399	-70,591	0	0	0
Dividends paid	-21,788	-31,244	-39,907	-42,942	-46,140	-50,088
Net inc/(dec) in borrowings	9,304	-14,320	52,706	0	0	0
Other investing/financing cash flows	-104,407	-63,241	-124,009	-20,396	-20,979	-20,979
Net cash flow	15,581	-39,801	8,522	158,099	181,383	247,132
Change in working capital	19,233	21,881	16,484	13,187	14,190	15,282

Balance Sheet (CNYm)

Cash and other liquid assets	172,320	132,519	141,041	299,140	480,523	727,655
Tangible fixed assets	53,232	80,185	149,905	195,391	235,985	231,017
Goodwill/intangible assets	177,727	196,127	205,999	198,085	189,450	180,019
Associates/investments	686,761	804,774	912,509	939,844	964,090	988,336
Other assets	487,206	567,390	629,532	645,541	660,718	679,593
Total assets	1,577,246	1,780,995	2,038,986	2,278,001	2,530,765	2,806,620
Interest bearing debt	334,457	329,992	377,191	377,191	377,191	377,191
Other liabilities	369,108	397,107	420,730	440,929	462,124	485,474
Total liabilities	703,565	727,099	797,921	818,120	839,315	862,665
Shareholders' equity	808,591	973,548	1,154,152	1,367,116	1,593,490	1,840,798
Minorities	65,090	80,348	86,913	92,765	97,961	103,157
Total shareholders' equity	873,681	1,053,896	1,241,065	1,459,881	1,691,451	1,943,955
Net debt	162,137	197,473	236,150	78,051	-103,332	-350,464

Key Company Metrics

Sales growth (%)	9.8	8.4	13.9	10.1	9.1	9.2
DB EPS growth (%)	37.2	44.2	18.8	7.9	7.4	7.7
EBITDA Margin (%)	36.0	40.0	40.9	41.9	42.7	43.7
EBIT Margin (%)	26.3	31.5	32.1	32.3	32.1	32.1
Payout ratio (%)	18.9	16.1	17.7	17.7	17.7	17.7
ROE (%)	15.1	21.8	21.1	19.2	17.6	16.4
Capex/sales (%)	7.7	13.5	15.0	14.1	14.1	10.1
Capex/depreciation (x)	0.8	1.6	1.7	1.5	1.3	0.9
Net debt/equity (%)	18.6	18.7	19.0	5.3	-6.1	-18.0
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Tencent	0700.HK	470.8 (HKD) 11 Aug 2026	2, 14, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

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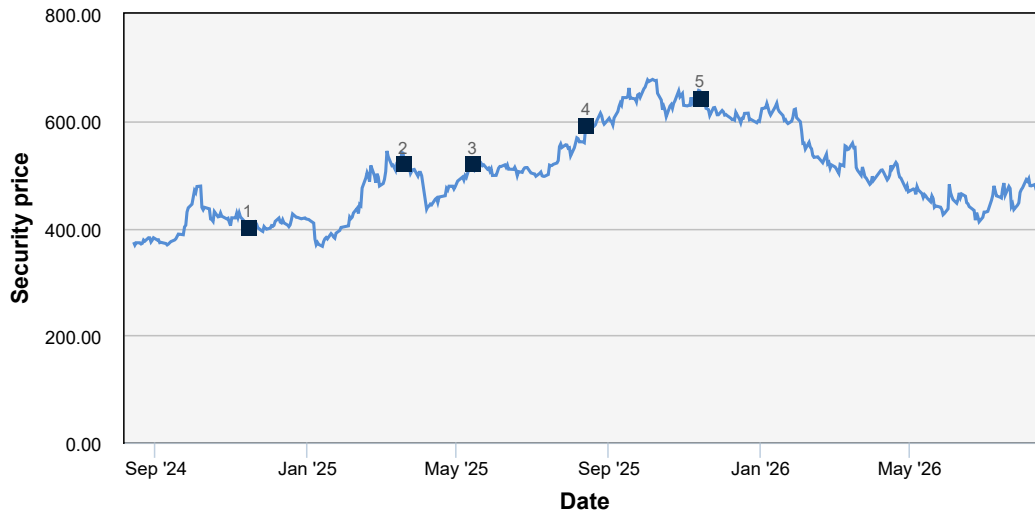
Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst(s) about the subject issuer and the securities of the issuer. In addition, the undersigned lead analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report. Leo Chiang.



Historical recommendations and target price: Tencent (0700.HK)

(as of 08/11/2026)



Current Recommendations

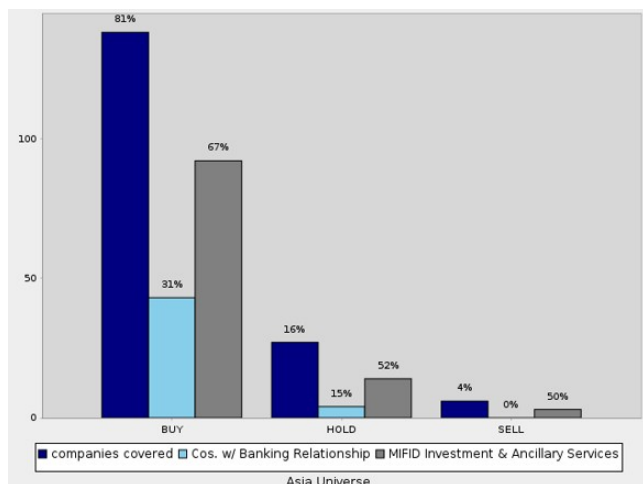
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	11/15/2024	Buy, Target Price Change HKD 540.00, Current Price HKD 401.00 Leo Chiang, CFA	4.	08/14/2025	Buy, Target Price Change HKD 720.00, Current Price HKD 590.00 Leo Chiang, CFA
2.	03/20/2025	Buy, Target Price Change HKD 650.00, Current Price HKD 519.50 Leo Chiang, CFA	5.	11/14/2025	Buy, Target Price Change HKD 800.00, Current Price HKD 641.00 Leo Chiang, CFA
3.	05/15/2025	Buy, Target Price Change HKD 675.00, Current Price HKD 520.00 Leo Chiang, CFA			



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and or/Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

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Buy: Based on a current 12- month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



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